

Date: 22nd April, 2026

The Coca-Cola Company

Action: **BUY**Listed on **NYSE**; Ticker: **KO**Target Price **USD (\$)** **88.26** ↑**Current Price as of 22nd April, 2026 : USD (\$)** **74.90****Sector:** Consumer Staples | **Industry:** Beverages**Product:** Soft drinks, Non-Alcoholic & Alcoholic Beverages**Capitalisation:** Large; \$323.86 billion

Investment Summary:

The following analysis outlines the key factors supporting an investment in The Coca-Cola Company and presents our detailed investment thesis:

- I. Valuation :** Despite being a mature global brand, The Coca-Cola Company appears undervalued based on Discounted Cash Flow (DCF) analysis.
Assuming the company maintains its operational strength and competitive position, there remains potential for further value appreciation and long-term growth
- II. Financial Stability :** The Coca-Cola Company demonstrates strong financial health and stability, supported by consistently high profitability, resilient cash flow generation, and stable operating performance. Its asset-light business model enhances operational efficiency, supports attractive margins, and enables the company to generate substantial returns on capital while maintaining financial flexibility
- III. Global Position :** The Coca-Cola Company maintains a leading position in the global beverage industry, supported by one of the world's most recognized brands. Despite strong competition from PepsiCo and other peers, its strong brand equity, consumer loyalty, and extensive distribution network provide a durable competitive advantage and support long-term growth

Business Overview:

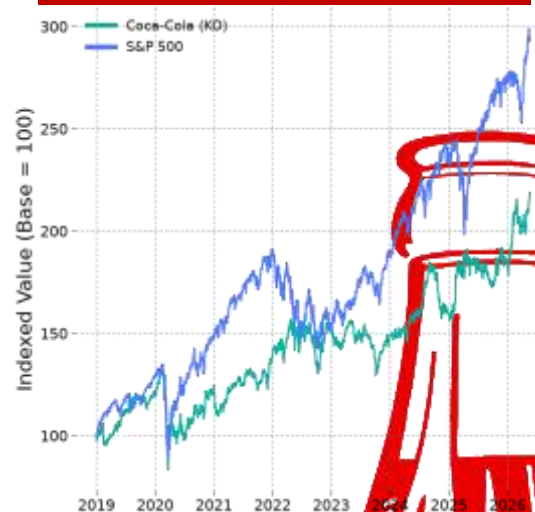
The Coca Cola Company is a non-alcoholic beverage company founded in 1892 by *Asa Griggs Candler* when the formula of Coca Cola and the brand was sold to him by pharmacist *John Stith Pemberton* (severely wounded American in civil war). In 1919 the company was sold of Ernest Woodruff's trust company of Georgia.

The company largely produces syrup concentrate, which is sold to various bottlers throughout the world who hold exclusive territories. These bottlers produce, package, and distribute finished beverages to retailers and consumers. This structure allows Coca-Cola to operate an asset-light and high-margin business model focused on branding, marketing, and product innovation

Key Information about Coca Cola

Established in :	1892
Incorporated by	Asa Griggs Candler
Headquarter :	Atlanta, Georgia
Business Type :	B2B, B2C

KO v/s S&P 500 (6 - Year Performance)



Competitors

Ticker	Firm	P/E
KO	The Coca-Cola Company	26.59
PEP	PepsiCo, Inc.	25.10
NESN	Nestlé S.A.	22.46
KDP	Keurig Dr Pepper Inc.	19.03

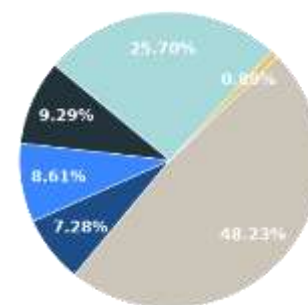
Despite operating in one of the most competitive consumer industries, The Coca-Cola Company has maintained one of the strongest global brand positions for decades. The company benefits from an extensive distribution network that reaches more than 200 countries, allowing its products to remain widely accessible across both developed and emerging markets. However, the company still faces long term challenges including changing consumer attitudes toward sugary beverages and increasing competition from healthier beverage alternatives

Ownership Structure:

The company is owned by **3525** institutions holding its share & many other shareholders, generally public. Some popular institutions are Berkshire Hathway holding 9.29% (400 million), The Vanguard group holding 8.61% (370.7 million) and others

■ Berkshire Hathaway	: 9.29%
■ The Vanguard Group	: 8.61%
■ Black Rock	: 7.28%
■ Other Institutions	: 48.23%
■ Directors & Executives	: 0.89%
■ General Public	: 25.70%

The Coca Cola Company Ownership Structure



Revenue Model:

Company operates in two lines of business: Concentrate operations & finished product operations

1. Concentrate Operations

The Coca Cola Company sells concentrated syrups to authorised bottling operations which they refer to as bottlers. These bottlers then add still or sparkling water, sweeteners (depending upon the product) and the finished products are sold with trademarks or trademarks licensed of The Coca Cola Company

Revenue comes from: (i) Selling Concentrated Syrups
(ii) Selling license or trademarks

This asset-light model allows Coca-Cola to focus on brand management, innovation, and marketing while maintaining high operating margins

2. Finished Product operations

The Coca Cola Company generate net operating revenues by selling sparkling soft drinks and a variety of other finished beverages to retailers. Revenue comes from: (i) Selling Finished Products

Finished product operations generate higher net operating revenues but lower gross profit margins than concentrate operations

3. Marketing support

Additionally, The Coca Cola Company provides marketing support to other beverages brands through license, joint ventures, & strategic relationship

The table below outlines the contribution of the two main sources of operations to the firm's net revenue from FY2020 to FY2025

Operations	FY2025	FY2024	FY2023	FY2022	FY2021	FY2020
Concentrated Operations	59%	59%	58%	56%	56%	56%
Finished Products Operations	41%	41%	42%	44%	44%	44%
Total	100%	100%	100%	100%	100%	100%

Financial Overview:

The Company has demonstrated stable and resilient financial performance, supported by its globally diversified revenue base and asset-light business model. Consolidated revenues are geographically diversified, reducing dependence on any single market, while profitability remains supported by strong brand equity and pricing power.

Operating income generation remains robust, translating into healthy cash flows that support ongoing investments in marketing, innovation, and distribution partnerships. The Company's financial structure benefits from a franchise-based bottling system, which limits capital expenditure requirements and helps maintain strong returns on invested capital.

While corporate expenses and eliminations reduce reported consolidated profitability, these primarily reflect centralized brand-building, governance, and global operating support costs rather than weakness in underlying market performance.

Overall, the Company's financial performance reflects a mature, cash-generative business with the capacity to fund growth initiatives, service obligations, and return capital to shareholders

The following section below provides a detailed information on financial performance of the company with respective note numbers explaining unusual changes and anomalies

Financials – Income Statement:

The table below outlines the profit margins for the year FY2025 to FY2020:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	FY2020	Trends
Gross Margin	61.63%	61.06%	59.52%	58.14% ²	60.27%	59.31%	
EBIT Margin	28.71%	21.23% ³	24.72%	25.37%	26.67% ³	27.25%	
EBT Margin	33.37% ⁴	27.81%	28.31%	27.17%	32.14%	29.53%	
Net Margin	27.40% ⁵	22.63%	23.39%	22.26%	25.36%	23.53%	

Key Observations:

1. Revenue continued to grow throughout the period. However, YoY growth decelerated consistently over the 6yr horizon. The revenue growth declined from 17.08% in FY2021 to 1.86% in FY2025
2. Gross margin temporarily contracted in FY2022 due to higher COGS & inventory pile up, this was done to manage potential supply chain disruption before recovering in subsequent years
3. EBIT margin compression between FY2021 and FY2024 was primarily driven by a non-recurring remeasurement of contingent consideration liabilities
4. Operating profitability/EBIT recovered in FY2025 following the normalization of other operating expenses
5. The deviation in Net Margin from FY2024 to FY2025 was explained by the increase in EBT

Financials – Balance sheet:

The table below outlines the liquidity ratios for the year FY2025 to FY2020, processed from Balance sheet:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	FY2020	Trends
Current Ratio	1.46 ²	1.03 ¹	1.13	1.15	1.13	1.32	
Quick Ratio	1.25 ³	0.84	0.95	0.93	0.96	1.09	
Cash Ratio	0.26	0.15	0.18	0.11	0.15	0.28	

Key Observations:

1. Decrease in Current Assets in the year FY2024 was due to heavy increase in Accounts Payable and removal of bottling plants, while a massive IRS Tax Litigation Dispute simultaneously locked up cash and pushed short-term liabilities upward
2. Total Current Liabilities decreased substantially due to the complete settlement and removal of the \$6,126 million Fair life contingent consideration liability from Accounts Payable and an expansion of Current Assets, driven specifically by short-term investments, which surged 78% year-over-year in absolute terms compared to FY2024 and a 39.77% increase in Assets held for Sale which led to a surge in Current Ratio of FY2025
3. A increase in quick ratio could be justified by the exact same cause as of Note – 2. Increase in Short term Investments and Assets held for sale, while a decrease in Accounts Payable

The table below outlines the Return Ratios for the year FY2025 to FY2021, processed from Balance sheet:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	Trends
Return on Assets	0.128	0.107	0.112	0.102	0.108	
Return on Equity	0.433	0.395	0.402	0.378	0.425	
Return on Invested Capital	0.120	0.073	0.107	0.114	0.082	

Key Observations:

1. Over the past 6 years both metrics have remained stable, operating in a tight range signalling a decent return on assets and equity
2. The company's Return on Assets (ROA) hovers within a tight range of 10.2% to 12.8%. This stability underscores a highly efficient, asset-light business model that consistently outperforms the industry benchmark of 6.0% to 8.5%.
3. The decrease in ROIC in FY2024 was clarified by the compression of EBIT margin which later recovered in FY2025

The table below outlines the Solvency Ratios for the year FY2025 to FY2020, processed from Balance sheet:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	FY2020	Trends
Debt to Equity Ratio	1.33 ¹	1.69	1.53	1.52	1.72	2.01	
Debt to EBITDA	3.31	4.46 ²	3.72	3.59	4.15	4.76	
Debt Ratio	0.43	0.44	0.43	0.42	0.45	0.49	
Equity Multiplier	3.06	3.81	3.56	3.59	3.80	4.10	
Interest Coverage	8.32	6.03 ⁴	7.41	12.37 ³	6.45	6.26	

Key Observations:

1. Debt to Equity decreased in FY2025 due to increase in Total Equity which was ruled out by the company reinvesting earnings
2. Debt to EBITDA increased in FY2024 because EBITDA was temporarily slashed as Other Operating exp inflated due to non-recurring measurement of contingent consideration liability
3. Interest Coverage spiked in FY2022 because management decided to early retire \$6.5B and €2.43B in notes ahead of schedule. The early retirement forced \$559M in extinguishment fees and \$91M in hedge losses. These fees were charged directly to 2021 Interest Expense, creating an inflated baseline.
4. Interest Coverage plunged in FY2024 due to increase in other operating exp which heavily compressed EBIT

Financials – Cash Flow Statement:

The table below outlines the Ratios from the Cashflow statement for the year FY2025 to FY2021:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	Trends
Quality of Earnings	0.564 ¹	0.639 ¹	1.084	1.151	1.288	
FCF Ratio	0.284 ²	1.087	0.955	0.991	1.064	
CFO to Revenue	0.155 ³	0.145 ³	0.254	0.256	0.327	

Key Observations:

1. Quality of Earnings decreased in FY2025 and FY2024 due to huge increase in changes in operating asset and liabilities that slashed FCF for the respective years
2. FCF decreased in FY2025 because EBITDA recovered from the past year temporary reduction and due to increase in the net change of the working capital which further reduced FCF for FY2025
3. CFO to Revenue decreased in both FY2025 and FY2024 due to massive increase in changes in operating asset and liabilities, same as Note 1

Financials – Valuation Ratios

The table below outlines the Ratios from the Cashflow statement for the year FY2025 to FY2020:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	FY2020	Trends
Price to Earnings ¹	22.98	25.35	23.81	29.02	26.14	30.32	
Price to Earnings Growth ²	2.06	7.22	2.27	0.58	3.04	21.69	

Key Observations:

1. Price to Earnings has decreased over time due to steady increase in Diluted Earnings Per Share. DEPS has increased from 1.67 in FY2015 to 3.04 in FY2025
2. Price to Earnings Growth Ratio uses a 5 year rolling Compound Annual Growth Ratio instead of YoY CAGR
3. The downtrend in Price to Earnings Growth is due to steady increase in 5 year rolling Compound Annual Growth Ratio of DEPS which has increased from FY2020 to FY2025

Financials – Trade Cycles Performance

The table below outlines the Trade Cycle Performance for the year FY2025 to FY2020:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	Trends
Days Inventory Outstanding ¹	90.8	91.15	85.31	77.53	79.38	
Days Sales Outstanding ²	25.15	27.06	27.51	29.7	31.42	
Days Payables Outstanding ³	362.33	370.47	307.79	307.9	306.18	
Cash Conversion Cycle ⁴	-246.38	-252.25	-194.97	-200.66	-195.37	

Key Observations:

1. DIO has converged toward the industry benchmark of 85–95 days, reflecting improved inventory efficiency
2. The Coca-Cola Company maintains tight operational control over customer collections, resulting in low and efficient DSO
3. The company has substantially strengthened its supplier negotiation power, driving a significant extension in payment terms (DPO) over the years
4. A negative Cash Conversion Cycle demonstrates that The Coca-Cola Company collects cash from sales significantly faster than it pays its suppliers. This allows the business to operate on "supplier financing," turning working capital into a source of short-term liquidity rather than an operational expense

Financials – Efficiency/Activity Ratios

The table below outlines the Efficiency/Activity Ratios for the year FY2025 to FY2020:

Metrics	FY2025	FY2024	FY2023	FY2022	FY2021	Trends
Receivable Turnover ¹	14.51	13.49	13.27	12.29	11.62	
Inventory Turnover ²	4.02	4.00	4.28	4.71	4.60	
Total Asset Turnover	0.47	0.47	0.48	0.46	0.43	

Key Observations:

1. Receivable Turnover has increased steadily, outlining efficient cash collections number of time throughout the year
2. Inventory Turnover is hovers slightly below industry averages due to Coca Cola engaged in core operation of selling concentrated syrups rather than finished canned/bottles drinks

Financials – Conclusion

The Coca-Cola Company demonstrates strong financial resilience and operational efficiency

Gross margin expanded to 61.63% in FY2025, while EBIT margin recovered to 28.71% following the settlement of non-recurring contingent liabilities in FY2024. Capital efficiency remains elite, with FY2025 ROE reaching 43.3% and ROA hitting 12.8%, comfortably beating industry averages

Solvency and liquidity improved significantly in FY2025. Debt-to-Equity fell to 1.33, Debt-to-EBITDA dropped to 3.31x, and Interest Coverage recovered to 8.32x. The Current Ratio surged to 1.46 (up from 1.03 in FY2024), propelled by a 78% expansion in short-term investments and the full settlement of the \$6,126 million Fairlife obligation.

Operationally, Coca-Cola's negative Cash Conversion Cycle (-246.38 days in FY2025) serves as a core structural moat. Extended payment terms (DPO of 362.33 days) paired with efficient collections (DSO of 25.15 days; Receivable Turnover of 14.51x) allow the firm to fund operations via supplier capital

Overall, these operational and leverage metrics reinforce a highly liquid, cash-generative business with enduring financial stability, while remaining aligned with industry standards

Refer to the detailed SWOT analysis for a comprehensive breakdown of the company's core strengths, weaknesses, opportunities, and threats

Valuation – Discounted Cash Flow Analysis

Based on our Discounted Cash Flow (DCF) analysis, The Coca Cola Company is currently undervalued with a base case target price of **\$88.26** per share, currently trading at 74.20 per share

Summary :

Although decelerating YoY revenue growth indicates the company is approaching a mature phase, absolute top line expansion remains robust

Coca Cola continues to demonstrate exceptional operational execution and resilient cash flow generation, underscoring its underlying fundamental strength even in a moderating growth environment

Our base case DCF analysis yields a target price of **\$88.26** per share, indicating upside potential for The Coca Cola Company. The model's growth assumptions project a continuation of the company's 6 year historical trajectory, moderating year over year percentage growth offset by consistent gains in absolute revenue. This scenario balances conservative top line expectations with Coca Cola's demonstrated operational resilience as a mature market leader

Weighted Average Cost of Capital (WACC) :

The model discounts projected cash flows to their present value using the company's Weighted Average Cost of Capital (WACC). The WACC is derived from financial data reported in the company's 10-K filings, combined with market-based inputs such as the current stock price for beta estimation, the U.S. Treasury yield as the risk-free rate, and other relevant capital market assumptions

Terminal Value :

A perpetual growth rate of 1.50% is assumed for the terminal value, reflecting the expectation that the company will transition from its higher growth phase to a mature, stable business over the long term

While the projected revenue growth during the explicit forecast period is 1.85%, it is assumed to gradually moderate as the company reaches market saturation and growth converges toward the long-term growth rate of the broader economy. Using a terminal growth rate below the forecasted revenue growth ensures a conservative and economically sustainable valuation

DCF Model (.xlsx) :

The embedded link below provides access to the Github profile which features the detailed DCF valuation model (Excel format), including all assumptions, supporting calculations, and comprehensive notes on the WACC estimation methodology

Click on the link to navigate detailed DCF excel file → [Discounted Cashflow Analysis - The Coca Cola Company \(KO\)](#)

Industry Overview & Competitive Landscape:

The company operates in the global non-alcoholic & alcoholic beverage industry, which is part of the broader consumer staples sector

Key product segments include: Carbonated Soft Drinks, Juice & Juice drinks, Ready to drink Coffee & Tea, Sports drinks, Alcoholic beverages

Demand characteristics such as, Low ticket frequent purchase, Demand is seasonal, commonly consumed alongside regular meals, contributing to habitual and repeat consumption patterns

Competitive Landscape

- I. The commercial beverage industry is highly competitive and consists of numerous companies: Ranging from small or emerging to very large and well established, PepsiCo, Inc. is a primary competitor. Few other competitors like Red bull, Suntory Beverage & Food Limited, Nestlé S.A.
- II. Competitive factors impact business pricing, advertising, sales promotion program, contracting with marketing assets, increased efficiency in production as well as packaging techniques as well
- III. The Coca Cola Company also faces competitive challenges like strong competitors throughout every region, rapid changes in consumer shopping, change in taste & preferences driven by health conscious generations

Industry Growth Drivers:

The Beverage industry is driven by various factors mainly adoption factors such as:

- I. Population Growth**
As Growth in the global population continues to expand the overall consumer base for non-alcoholic beverages. As beverages are consumed daily across age groups and geographies, population growth supports long-term volume demand for packaged drinks
- II. Urbanisation and Life style changes**
Urban Increasing urbanisation is driving shifts in consumer lifestyles toward convenience and on-the-go consumption. Urban consumers rely more on packaged, ready-to-drink beverages compared to homemade alternatives, supporting sustained demand growth in the beverage industry
- III. Rising disposable income levels**
Improved purchasing power also supports premiumization trends, including low- and no-sugar drinks, flavoured beverages, and ready-to-drink coffee and tea products
- IV. Supporting factor such as Seasonal Consumption patterns**
Beverage consumption typically experiences seasonal uplift during warmer and more humid weather conditions, supporting short-term demand for refreshing drinks and reinforcing overall consumption levels across the year

Industry Risks:

Along with industry drivers The Coca Cola company also faces some industry risks which may be critical for future demand assessment:

- I. Increased competition**
Increased competition is a threat to industry because it impacts pricing power and is reduces profit margins
- II. Disruption of supply chain**
Increase in input costs due to various factors like poor trade relations between countries, rise in tariffs etc increase prices of raw material and disrupts supply chain
- III. Increase in Health related concerns**
Increase in health related concerns like obesity, other chronic disease etc is a disaster for this industry because it reduce consumption and plunge sales.
Public debate for additives like sweetener HFCS is a risk to industry
- IV. Increase in income tax, changes in tax rates & law**
A rise in tax rates reduces net profit margins and may stall operations temporarily, this could also push high prices onto consumer
- V. Strict future environmental/health care laws**
Since this industry provides consuming products, strict laws like ban on alcoholic beverages etc, or ban on packaging materials like soda cans to address environmental problems that can inherent threats

Strength Weakness Opportunity Threat Analysis (SWOT) :

1. Strength :

The Coca Cola company has the following Strengths:

i. Robust Financials

The Company demonstrates strong financial health, supported by financial metrics, ratios, and cash flows that are consistent with industry standards. This financial strength is essential for maintaining resilience in sensitive market environments and supporting recovery during economic downturns

ii. Asset Light Business Model

The Coca-Cola Company operates an asset-light business model by relying on independent bottling partners. This approach minimizes capital investment in physical assets, allowing the Company to allocate more resources toward innovation, brand development, and strategic growth

iii. Mature Global Brand

The Company is a mature global brand with extensive operations and distribution networks across the world. It enjoys widespread recognition and acceptance in most markets and remains a preferred choice for consumers globally

2. Weakness :

The Weakness of The Coca Cola Company is outlined by:

i. Slowing Revenue Growth

Although the Company's annual revenue has continued to increase in absolute terms, its growth rate has slowed significantly. YoY revenue growth declined from 17.08% in FY2021 to 1.86% in FY2025, indicating a deceleration

ii. Exposure to mature markets

The Company's significant exposure to mature markets limits its long term growth potential, leaving relatively little room for substantial valuation expansion

iii. Reliance on bottling partners

The Company's heavy reliance on independent bottling partners for manufacturing, distribution, and operations increases its dependence on third parties. Any disruptions, conflicts, or inefficiencies within its bottling network could negatively impact operations and business performance

3. Opportunity :

Despite its weakness, The Coca Cola Company has several opportunities:

i. Premiumization

Consumers are increasingly willing to pay for premium beverages, creating opportunities for the Company to expand its premium offerings and improve profit margins

ii. Expansion in Emerging Markets

Rising disposable incomes, urbanization, and growing populations in emerging economies present significant opportunities for the Company to expand its customer base and increase beverage consumption

iii. Strategic Acquisition

The Company's strong financial position enables it to pursue acquisitions and strategic partnerships. The Company also made some acquisitions e.g. FairLife

4. Threat :

The Company faces some serious threats:

i. Involvements in Litigation

Recently, The Coca Cola Company has been involved in serious litigations, e.g. the U.S. Tax Court entered a decision ordering Coca Cola to pay roughly \$2.7 billion in back taxes, which grows to approximately \$6 billion with accrued interest. Coca-Cola paid the amount to appeal the case to the Eleventh Circuit Court of Appeals

ii. Health Conscious Consumer Trends

The growing preference among younger generations for healthier diets and lifestyles may reduce demand for sugary carbonated beverages, potentially suppressing future consumption

iii. Commodity Price inflation

Rising inflation may increase the cost of raw materials, packaging, and transportation, potentially forcing the Company to pass these higher costs on to consumers through price increases